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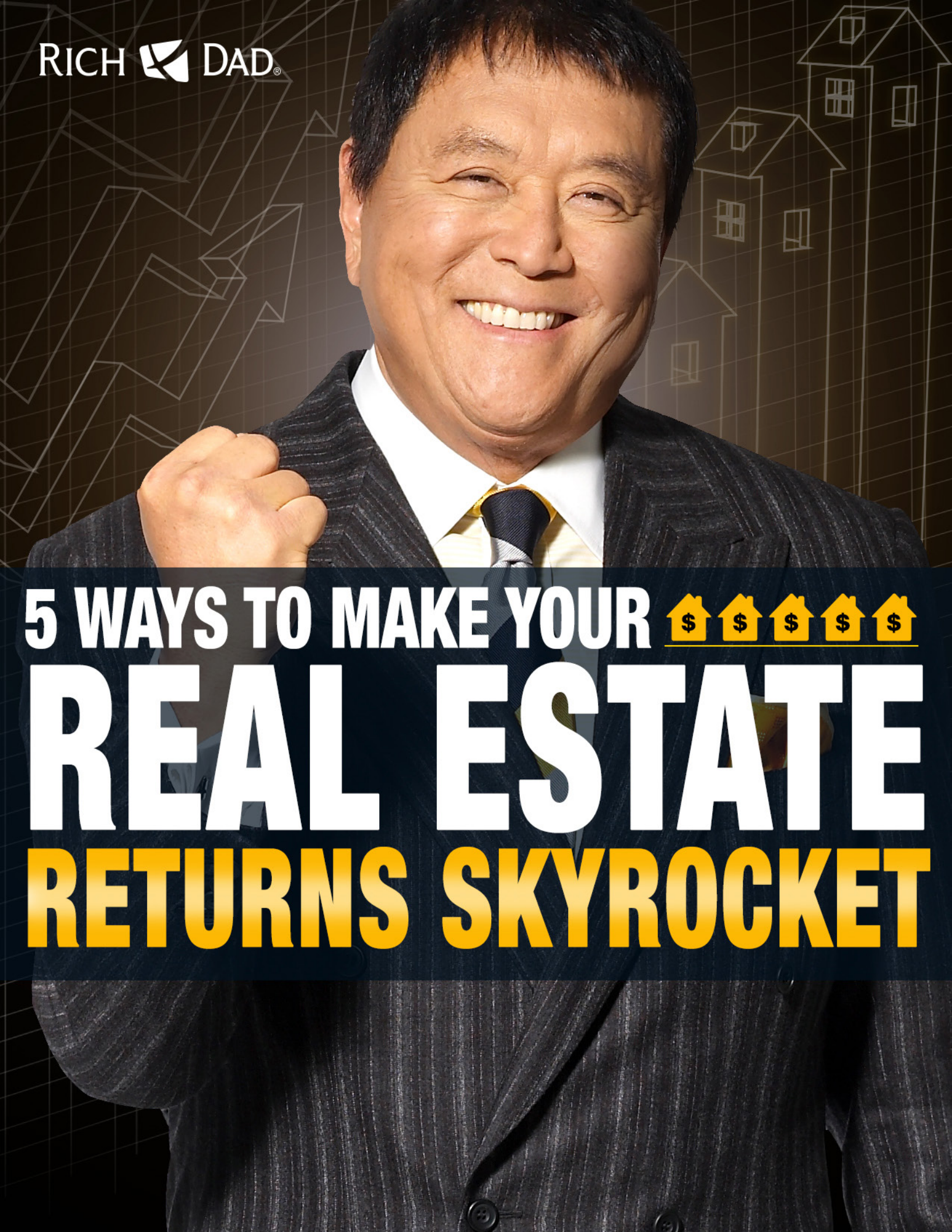
5 WAYS TO MAKE YOUR REAL ESTATE RETURNS SKYROCKET



5 Ways to Make Your Real Estate Returns Skyrocket

Robert Kiyosaki has made no secret of the fact that, among the investment world's four main asset classes—paper assets, commodities (like precious metals), business ventures, and real estate—real estate is his favorite type of investment.

But not just any real estate. Robert stays away from investing for capital gains—long-term holds that eventually may produce a nice return on investment, but only after 10 or 15 years. Instead, he prefers short-term plays focused primarily on cash flow. As he bluntly told MarketWatch.com, if your real estate investment strategy consists of hoping and praying that property values will increase, "you're crazy."

Why Robert Prefers Cash Flow Investments

The reasons for Robert's bold—even contrarian—point of view are straightforward. There are, he says, three main reasons to eschew capital-gains-focused real estate investments:

- **Timing.** A key problem with investing for long-term capital gains, Robert notes, is that, in order to receive your desired gain, you have to dispose of the property—and do so at the right time. Hence, you have one chance to make a good return, and only one chance. Guess incorrectly, and you're toast.

- **Predictability.** It's challenging enough to forecast what's going to happen next year or the year after that. But 10 or 15 years from now? That's so far in the future that the economic conditions prevailing at that distant time are practically unknowable.

- **Losses.** Every real estate investor suffers losses from time to time—it's one of the inevitabilities of investing. And so Silicon Valley's popular "fail fast" paradigm for business startups is a good rule to apply to real estate investing as well. If your current property happens to be that one bad egg in your investment basket, why wait a decade or two to find out? Find out sooner rather than later.

While these three factors are important, the main reason Robert prefers cash flow-type investments to those focused on capital gains is that the latter offer only one way of generating returns: the cash-out. However, investing for cash flow affords not just one, but four methods of prospering.

In fact, by properly focusing on these other three factors (and, to the appropriate degree, on the fourth), you can do more than earn a "nice" return on your real estate investments. Instead, you can make your real estate returns skyrocket—even in the short-term—just by following five simple rules.

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Rule Number 1. Realize That Cash Flow Is King

One investment website recently described the role of cash flow in real estate investing in a way that hardly could be said better. "When it comes to real estate investing," the website's authors said, "you need to forget all about equity. Instead, you need to focus on cash flow. Over time, cash flow generates the real profit" on rental properties. On the other hand, while "equity is nice,… it won't pay your bills."

There are a number of reasons why cash flow is superior to equity in producing significant investment returns:

- **Trying to build equity may cause you to lose money.** During the time in which you own a real estate property, no matter how fast your equity in the property accumulates, you'll still be paying for taxes, insurance, maintenance, debt service, and other costs that sometimes can turn small positive cash flows into large negative ones.

- **Equity returns are solitary events, while cash flow is ongoing.** As noted earlier, even if you do gain an equity-based return from a real estate purchase, the profit on equity comes only once—when you sell the property—and sometimes the amount of the profit, especially when spread out over time, can be relatively modest. On the other hand, a well-chosen cash flow-focused investment will put cash in your pocket every month, and the amount of that cash flow typically will grow over time.

- **Cash flow begins immediately.** Equity returns, even if they result, tend to manifest themselves only after years of holding a property. Cash flow, however, often begins within a few weeks of purchase, and sometimes immediately—no waiting required.

That said, equity profits can be a nice additional benefit when owning a property. But as the investment website quoted a moment ago emphasizes, "Cash flow is king…" Cash flow "greatly outperforms equity when it comes to generating a profit… So long as you have invested wisely and bought a property that generates a consistent profit via high occupancy rates and low maintenance and ownership costs, that property should put money in your bank account every month."

Rule Number 2. Understand the Four Real Estate Profit Centers

So there are four different ways you can prosper in real estate investing if you focus on cash flow. Sounds pretty appealing, right?

But there's even more to it than that. When the returns from cash flow investing's four "profit centers" are taken together, those returns generally outpace what's attainable from any other investment type—even a booming stock market. The strength and durability of these four profit centers are the main reason why real estate is Robert's favorite investment vehicle.

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When speaking of real estate as an investment, though, it's important to clarify that we are talking about property that is bought specifically to be run as a business and not as one's personal residence. As Robert repeatedly points out, a residence is not an asset because it takes money out of your pocket (for maintenance expenses, taxes, etc.). But properties purchased as a business investment, if you've invested properly, act in just the opposite manner: as noted, they put money in your pocket.

Here are cash flow real estate's four profit centers:

- **Cash flow on operations.** If you're holding real estate as an investment, you will have tenants, and each month these tenants will pay you rent. For example, let's say that you own a rental house and receive $1,000 per month in rent payments. Over a year, that is $12,000 in income. Now, subtract your expenses, such as taxes, insurance, property-management fees, vacancy costs, turnover expenses, repairs, and debt service, and what's left over is your monthly cash flow. For most prudent real estate investment, cash flow on operations produces an annual return somewhere in the 3% to 10% range. But that's not the end of the story…

- **Amortization.** Amortization is the concept of paying down the debt that you owe on a property. Each month, when you make your debt payment, most of that money will pay for interest, but at least some of it will go toward paying down the principle on your loan. But because your tenant is paying rent—and because that rent is covering the full amount of your debt payment—the tenant is actually paying for both your interest expense and the paydown on your debt. That paydown on your principle is actually profit for you—an annual return amounting to 10% to 20% or more. And so, with these two profit centers alone, you are already crushing average annual stock-market returns. And yet there is more…

- **Depreciation.** Depreciation is often referred to as a "phantom return" because it involves no actual cash payment. The concept of depreciation requires that we distinguish the value of the land on which a property sits and the physical structure of the property itself (i.e., the house or building). Because physical structures deteriorate over time—that is, they "depreciate" in function and value—the government typically lets investment property owners deduct the amount of this depreciation from their taxable income. The tax savings so produced can amount to another 5% to 10% annual return, bringing your total annual return on a real estate investment to 30% or more. And that's not even counting…

- **Appreciation.** An appreciation in the value of your equity, as indicated above, is an ancillary benefit to the other three real estate profit centers—that is, icing on your cake. But a very tasty item it can be if you've invested well. As Robert says, "I don't invest in real estate for appreciation. I'm a cash flow investor. But I do 'appreciate' my appreciation." In fact, even relatively small increases in the value of a property, when added to the returns from the other three real estate profit centers, can push your annual real estate investment profits to 40%, 50%, or more.

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The beauty of all this is that these types of returns are achievable by anyone—as long as you understand how to find the right real estate deals and run your numbers correctly.

Rule Number 3. Select the Right Property in the Right Market

The investment website mentioned earlier makes the case for wise property selection in clear and unmistakable terms. When investing in real estate for cash flow, the website's authors say, "you need to do your homework and choose a rental property located in a market with long-term potential, such as one with historically high occupancy rates, rather than one subject to volatility."

The reason? "If your rental property is located in a market where property values [tend to] plummet, your potential for cash flow is much lower. That's why you need to do your homework and choose your property wisely. Ultimately, you are investing in the market, not the property."

Ensuring that the market you're investing in has long-term growth potential is reflective of the well-known real estate dictum that the three most important factors in determining the value of a property are "location, location, location." But the importance of a property's location extends beyond the obvious factors like whether a neighborhood is run-down or ascendant, or whether it is on the "good side" or "bad side" of town. A property's value also depends on whether its location will serve the needs of those you're intending to rent or lease to.

For instance, if you're planning to invest in commercial space, what types of business tenants will you be seeking? Customer-facing businesses, like doctors, attorneys, and retail shops, will have vastly different locational requirements than will manufacturers or wholesale entities. Likewise, if you're looking at buying and renting apartments, the locational priorities of students, families, seniors, and other prospective tenants are likely to vary widely.

Therefore, once you've chosen a type of property you want to invest in, you'll want to carefully evaluate all relevant locational factors, such as transportation options, crime and safety, proximity of schools, retail establishments and restaurants, population dynamics, zoning ordinances, property taxes, and many other factors—all of which will influence a neighborhood's appeal to prospective tenants, and hence a property's value far into the future.

Even after carrying out this analysis, however, you're not done, because calculations and data sheets can tell you only so much. You'll also want to drive the area in person in order get a feel for the location in the same way that a potential tenant or homebuyer might do so. How long does it take to get to the freeway, the grocery store, or other businesses services? How noisy or heavily trafficked is the area during the day? How safe does it feel at night?

As you compile these observations, ask yourself: "If I were a prospective renter, would I really want to live or work here?" Your answer to that question will go a long way toward determining whether you've found an exceptional—and potentially profitable—location.

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Finally, after you've identified a target neighborhood, you'll want to honestly project your cash flow from specific properties, including purchasing and financing costs, the amount of maintenance required, how often you'll likely have to find new tenants, and so on. Often, an honest cash flow evaluation can turn an apparently good deal into a relatively poor one, and vice versa.

For instance, Robert and other successful real estate investors look for properties that are priced well below market value. That's a good strategy, but as Robert will tell you, that's only part of the equation. You need to look at the price, of course, but you also want to consider the property's value, especially from the viewpoint of potential tenants.

For instance, newer homes, apartment buildings, and commercial properties tend to cost more to purchase than older ones. And so, on a purely cash-on-cash basis, investments in older properties would seem to offer a higher prospective return. But when factors like the average achievable rent and the cost of maintenance and repairs, as well as possible increases in turnover and the length of vacancies, are added in, a seemingly higher-return older property actually may offer a lower return than newer, more expensive investments.

Rule Number 4. Manage Your Properties Well

Some of the biggest "hidden" expenses in rental property, as suggested above, are the costs of repairs, turnover, and vacancies. While almost every real estate investor takes these factors into consideration at the time of purchase, when the rent checks start rolling in, these matters often tend to flee from the mind. As they do, some real estate investors start to focus less on positive tenant relations, property upkeep, and so on, and more on the dollars-and-cents bottom line—until one day tenants start leaving, properties start remaining vacant for longer periods of time, and word-of-mouth about your properties turn negative.

As you can imagine, problems like these are far easier to prevent than they are to recover from. And so the best way to avoid these somewhat "hidden" costs is to never let them emerge in the first place.

One effective way of doing so is to realize that, as a real estate investor, you're in a customer-facing business just like local car repair shop or beauty salon down the street. And just like those business owners, you have to take care of your customers and make sure they're happy, or else you won't be in operation for very long.

This doesn't mean that you have to be extravagant, like outfitting your apartments with gold-plated faucets or your offices with granite floors. But it does mean providing clean, neat, and well-maintained housing or commercial space. And it also means regularly inspecting your rental units so that you can prevent problems beforehand—and then responding quickly and courteously when such problems do occur.

Periodic inspections are more important than many real estate investors take them to be. Of course, drive-bys are sometimes sufficient, but you'll also want to take routine excursions inside your rented homes, apartments, or office space as well. To make this possible, you'll want to ensure that your rental or lease contracts allow for these onsite

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inspections—and then you'll want to carry through with the inspections on a consistent basis. As one article advises, "if your tenants have a dog that is destroying a home, have a second family living in a property, or are trashing the place, an interior inspection will help you take care of the situation quickly." And "[t]he sooner you catch a problem, the less damage will be done."

Also, don't forget to undertake regular maintenance activities as well. Service air conditioners, furnaces, and water heaters on their recommended schedule, and make sure items like new furnace filters are installed when needed (or do it yourself). Check appliances, lighting fixtures, garage door openers, and other property features so that necessary maintenance can be performed before costly repairs or replacements become necessary. And ensure that periodic carpet and other cleanings are performed to extend the life of these key amenities.

Going to all of this trouble may seem like a lot of work and expense—and it is. But it's a cost you'll need to plan for if you want your properties to remain in top shape and fully rented or leased. Otherwise, not only will your tenants tell other potential renters about any negative experiences they've had—and even may move out if the situation gets bad enough—but with the proliferation of online review sites for nearly every type of property, one tenant's unpleasant dealings with you can be paraded across the computer screen for every prospective new tenant to read.

And if these unpleasant dealings start to mount, well… you don't even want to think about that.

Rule Number 5. Trade Up in Value

When Robert played the board game Monopoly as a child, he learned one very important principle that would serve him well throughout his real estate investing career, and that would be a key influence on the way he thought about wealth. That principle was simple: Four green houses lead to one red hotel.

Most real estate investors who remain in the profession for even a short time realize that the bountiful profits that so many of their colleagues earn come only with larger and larger properties. It's difficult, for instance, to generate sizable earnings when your sole investment is a $150,000 duplex or a starter home in a marginal neighborhood. The solution is equally simple and very Monopoly-like: trading up.

Trading up, of course, involves selling a smaller or less-profitable property, "cashing out," and then using the proceeds to purchase a larger and more lucrative piece of real estate. There's just one catch. Every time you "cash out," you receive what's called a "capital gain" (as long as you sell the property for more than you paid for it). And capital gains are taxed (albeit at a lower rate than ordinary personal income) by both the federal government and many state governments.

How can you get ahead when you're giving up so much of your gain in taxes?

The answer is: you don't give the money up. It's not a matter of hiding income or doing anything illegal. In fact, the government actually wants you to purchase larger properties

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because that means more and usually better housing and commercial space is being created. And so the federal government gives you some powerful incentives for doing just that.

The most important of these incentives is something known as a "1031 exchange." The number "1031" is the section of the Internal Revenue Service Code that governs a certain class of real estate transactions. In simplest terms, 1031 exchanges allow you to roll over the capital gains from one investment property into another. But you have to adhere to the rules precisely. If even a single form is filled out incorrectly or the smallest requirement is not met, the IRS can disallow the exchange.

We'll be honest: successfully completing a 1031 exchange takes a great deal of work. But it's worth it. In fact, if you want to be phenomenally successful as a real estate investor, 1031 exchanges (and other tax-friendly ways of trading up) are tools that you'll want to use more and more frequently as your investing business expands.

Watch Your Returns Skyrocket

If you follow the rules outlined above, your work as a real estate investor can become one of the most rewarding experiences of your career. Not only will you find great satisfaction in having personal control over both your work day and your bank account, but you'll also have the chance to boost the income available for you and your family above anything you've ever thought possible from an ordinary day job.

In fact, if you diligently practice and perfect just the five principles discussed above, it's quite possible that you'll soon watch your financial returns from real estate investing not just edging up or even growing steadily, but actually skyrocketing—beyond your wildest dreams. And it's at that point you'll realize that you've truly "made it" as a real estate investor.

Yes, even you: with practice, diligence, ongoing education and application of proven rules like these, almost anyone can achieve the real estate investing success they desire.

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